March 2026

Key Definitions and Measures

Category 11.0 Manage Enterprise Risk, Compliance, Remediation, and Resiliency

APQC's Process Classification Framework (PCF)® is a reliable and robust framework used by hundreds of leading companies worldwide. The PCF is made up of 13 categories, as seen in Figure 1. This article highlights the definitions for each element for category **11.0 Manage Enterprise Risk, Compliance, Remediation, and Resiliency**, specifically. If you're looking to learn more about the PCF, or download the PCF itself, please visit www.apqc.org/process-frameworks.

APQC's Process Classification Framework (PCF)®

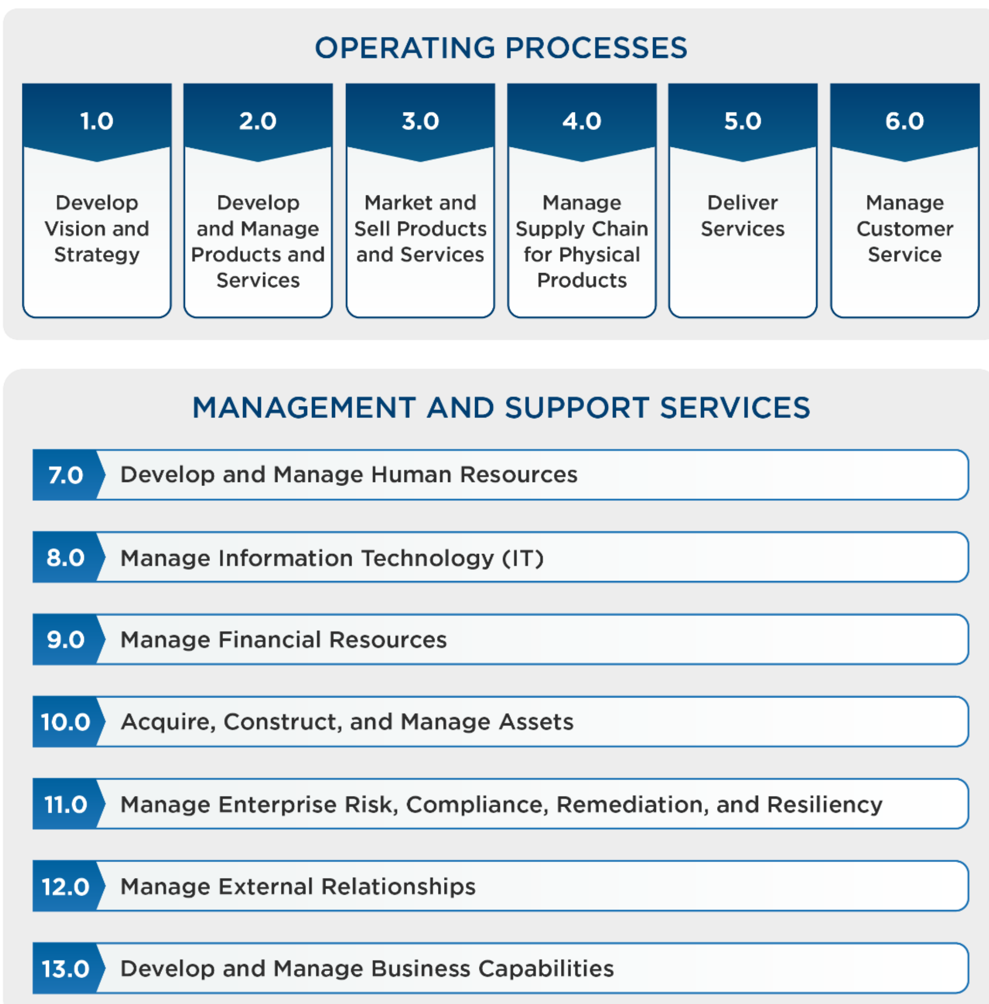

Figure 1

Table of Contents

Structure of the Article

Throughout this article, you will see multiple tables, with different colored headers. They relate to the levels of the PCF (Figure 2).

PCF Levels

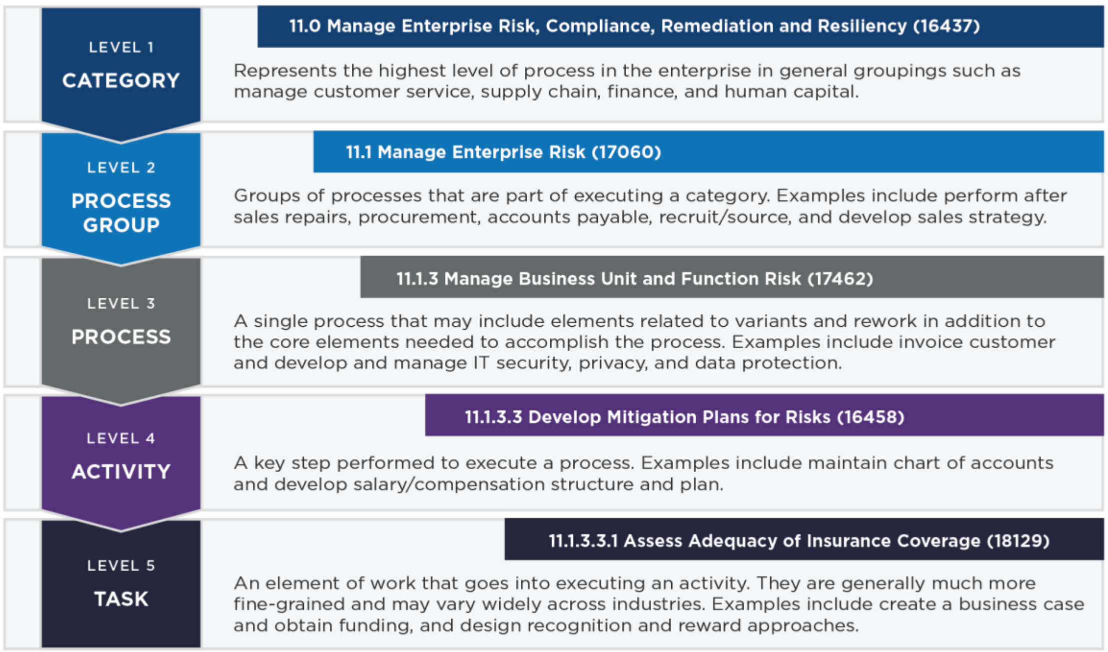

Figure 2

Below is a definition of the different elements and numbers you will see throughout the article.

Element Name

This is the name of the element within the PCF. For example, “Manage supply chain for physical products,” as seen in Figure 3.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 3

Hierarchy ID

In the PCF, there are identifying numbers to the left of each process element. These numbers are called hierarchy ID numbers and are used by people to help quickly locate a specific process element. Figure 4 has an example of "4.0."

4.0 Manage supply chain for physical products (20022)

Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 4

Element ID

The numbers to the right of the process elements (20022 in Figure 5) are called process element identification numbers. Each process element in the PCF has a unique five-digit reference number.

4.0 Manage supply chain for physical products (20022)

Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 5

Element Definition

Each element in the cross-industry PCF has a definition associated with it. The definition is designed to provide detail and information around what type of work the element consists of.

In Figure 6, and for all elements in this article, you'll find the definition directly under the colored heading that contains the name of the process element.

4.0 Manage supply chain for physical products (20022)

Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 6

Outside of the Key Definitions articles (like this one), element definitions can be found in the Excel version of the PCF, which includes a tab that has definitions for each element.

Key Performance Indicators (KPIs)

A KPI is a specific measure used to gauge a quantifiable component of an organization's performance at the functional, process, or activity level.

KPIs typically correspond to the organization's critical success factors and business goals.

Throughout this article, KPIs (when available) will show up in a table underneath the element definition (Figure 7). The KPIs will be listed in the right column and the metric IDs will be listed in the left column.

4.1 Plan for and align supply chain resources (10215)	
Creating strategies for production and materials. Handle the demand for the products of the organization. Develop plans for handling materials. Develop and administer the schedule for master production. Plan for distribution requirements and its constraints by reviewing and assessing distribution policies and performance and by establishing quality standards and procedures.	
Suggested KPIs for Process Group 4.1 Plan for and align supply chain resources (10215)	
Metric ID	**KPI**
100395	Cash-to-cash cycle time in days
100654	Demand/supply planning costs per $1,000 revenue

Figure 7

Metric ID

Where KPIs are available, there is a metric ID included for KPIs that can be found in [APQC's Benchmarks on Demand portal](). The metric ID can be utilized by organizations to search for data related to that metric, such as top, bottom, and median performers.

Throughout this article, KPIs (when available) will show up as a table underneath the element definition (Figure 8). The KPIs will be listed in the right column and the metric IDs will be listed in the left column.

4.1 Plan for and align supply chain resources (10215)	
Creating strategies for production and materials. Handle the demand for the products of the organization. Develop plans for handling materials. Develop and administer the schedule for master production. Plan for distribution requirements and its constraints by reviewing and assessing distribution policies and performance and by establishing quality standards and procedures.	
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Figure 8

Definitions and Suggested Key Performance Indicators (KPIs)

11.0 Manage Enterprise Risk, Compliance, Remediation, and Resiliency (16437)
Ensuring that an organization effectively manages its risk. Process groups are aligned with traditional risk management activities.

11.1 Manage enterprise risk (17060)
Creating requisite frameworks and coordinating all risk management activities for the entire organization and each function. Manage the enterprise risk by outlining the risk policies and procedures. Monitor and communicate all risk management activities. Encourage correspondence among the business units. Manage the risk of all business units and functions.

11.1.1 Establish the enterprise risk framework and policies (16439)
Creating an agenda for the rules and regulations of enterprise risk that deal with hazardous, financial, operational, and strategic risks. This is inclusive of all forms of new and evolving technology such as artificial intelligence (AI).

11.1.1.1 Determine risk tolerance for organization (16440)
Recognizing the organization's tolerance for risk, given risk-return trade-offs for one or more anticipated and predictable consequences.

11.1.1.2 Develop and maintain enterprise risk policies and procedures (16441)
Establishing and maintaining the policies and procedures for managing risk. Create rules and regulations for enterprise risk dealing with hazardous, financial, operational, and strategic risks.

11.1.1.3 Identify and implement enterprise risk management tools (16442)
Recognizing and implementing tools for managing risk. Identify and apply enterprise risk management tools. Leverage methods and processes to manage risks and opportunities associated with business objectives.

11.1.1.4 Coordinate the sharing of risk knowledge across the organization (16443)
Communicating the knowledge about risk within the organization. Identify operational risks. Share risk information within the organization.

11.1.1.5 Prepare and report enterprise risk to executive management and board (16444)

Preparing and presenting reports about enterprise risk to the management of the organization. Create reports for management on hazard risks (e.g., property damage and liability torts), financial risks (e.g., currency and liquidity risks), and operational risks (e.g., product failure, customer satisfaction, social trends, and competition).

11.1.2 Oversee and coordinate enterprise risk management activities (16445)

Coordinating to plan, organize, lead, and control the activities of an organization in order to minimize the special effects of risk on capital and earnings.

11.1.2.1 Identify enterprise level risks (16446)

Determining risks that could thwart objectives, including crises that may impact customer service such as data breaches or significant product issues. Document and communicate the concern.

11.1.2.2 Assess risks to determine which to mitigate (16447)

Identifying options/actions to enhance opportunities and reduce threats. Recognize the root reasons of the identified risks.

11.1.2.3 Develop risk mitigation and management strategy and integrate with existing performance management processes (16448)

Developing activities to improve opportunities and lessen threats. Specify the organization's objectives. Evolve strategies and policies to attain these objectives. Assign resources to project objectives.

11.1.2.4 Verify business unit and functional risk mitigation plans are implemented (16449)

Checking that the blueprint created for managing risk in individual business units and divisions is correctly effectuated. Validate the implementation of all activities geared to mitigate risks.

11.1.2.5 Ensure risks and risk mitigation actions are monitored (16450)

Ensuring risk monitoring and mitigation activities. Monitor actions to enhance opportunities and reduce threats to project objectives.

11.1.2.6 Report on enterprise risk activities (16451)

Creating a report of activities to address hazard risks, liability torts, financial risks, operational risks, social trends, competition, etc.

11.1.2.7 Coordinate business unit and functional risk management activities (16452)

Coordinating risk management activities to improve opportunities and lessen threats. Specify the organization's objectives. Assign resources to project objectives.

11.1.2.8 Ensure that each business unit/function follows the enterprise risk management process (16453)

Checking each business unit's/function's options and activities to improve opportunities and lessen threats.

11.1.2.9 Ensure that each business unit/function follows the enterprise risk reporting process (16454)

Checking the reporting process of each business unit's/function's options and activities to improve opportunities and lessen threats.

11.1.3 Manage business unit and function risk (17462)

Analyzing the threats a business unit/function faces to prioritize the controls it implements..

11.1.3.1 Identify risks (16456)

Developing a timely and continuous process to identify activities that might hinder a project's goals.

11.1.3.2 Assess risks using enterprise risk framework policies and procedures (16457)

Determining the possibility that a specified undesirable event will occur using established tools, implements, and frameworks. Use risk assessments to determine, for example, whether to undertake a particular venture, what rate of return a particular investment requires, and how to mitigate an activity's potential losses.

11.1.3.3 Develop mitigation plans for risks (16458)

Developing possibilities and arrangements to improve opportunities and reduce deviations to project objectives.

11.1.3.3.1 Assess adequacy of insurance coverage (18129)

Evaluating the changing needs for insurance coverage. Research available insurance providers and offerings.

11.1.3.4 Implement mitigation plans for risks (16459)

Executing mitigation plans to improve opportunities and reduce deviations to project objectives.

11.1.3.5 Monitor risks (16460)

Identifying, examining, and recognizing/justifying any improbability in investment decision making.

11.1.3.6 Analyze risk activities and update plans (16461)

Examining the impact of risk activities in order to update the existing scheme of risk management. Analyze and substantiate the potential for adverse consequences to occur. Consider the risks associated with the activity and the methods available to manage those risks.

11.1.3.7 Report on risk activities (16462)

Creating reports on risk activities, and communicating them to management. Prepare reports on the potential for adverse safety consequences.

11.2 Manage compliance (17467)

Managing steps to confirm enduring compliance to industry regulations and government legislation.

11.2.1 Establish compliance framework and policies (17468)

Developing a set of procedures detailing an organization's progress in complying with established guidelines, provisions, and legislation.

11.2.1.1 Develop enterprise compliance policies and procedures (17469)

Creating a standardized approach to ethics and compliance. Have a programmatic approach for compliance that focuses on the definite risks the organization faces.

11.2.1.2 Implement enterprise compliance activities (17470)

Implementing standardized for ethics and compliance. Have a programmatic approach, built from the top down, to enterprise compliance that focuses on the definite risks the organization faces.

11.2.1.3 Manage internal audits (14133)

Managing accounts and prepare regular reports on financial performance.

11.2.1.4 Maintain controls-related technologies and tools (14137)

Managing technologies and tools related to the confidentiality, integrity, and availability of data in order to ensure the security of the organization's information. This is inclusive of all forms of new and evolving technology such as artificial intelligence (AI).

11.2.2 Manage regulatory compliance (16463)

Obeying laws, guidelines, strategies, and stipulations related to the business.

11.2.2.1 Develop regulatory compliance procedures (16464)

Developing procedures and methodologies to comply with relevant laws and regulations of an organization's obedience to laws, guidelines, strategies and stipulations related to business.

11.2.2.2 Identify applicable regulatory requirements (16465)

Determining the regulatory requirements that are most appropriate for the organization. Identify goals in order to follow the appropriate rules and regulations, guidelines, and strategies.

11.2.2.3 Monitor the regulatory environment for changing or emerging regulations (16466)

Analyzing and overseeing the regulatory environment in order to spot any changing or emerging regulations. This process element calls upon the organization to monitor the regulatory environment for any new statutes, policies, and enactments issued by the respective government authorities or those which have been updated.

11.2.2.4 Assess current compliance position and identify weaknesses or shortfalls therein (16467)

Evaluating current regulatory policies and regulations. Assess their performance. Make necessary changes.

11.2.2.5 Implement missing or stronger regulatory compliance controls and policies (16468)

Assessing the current policies and policies. Implement missing and necessary changes environmental changes, political changes, technological changes, etc.

11.2.2.6 Monitor and test regulatory compliance position and existing controls (16469)

Monitoring, appraising, and evaluating the compliance position of the organization in order to fine-tune for effective remediation. Track efforts for handling regulatory and compliance requirements necessitated by law. Test the robustness of internal frameworks, procedures, and approaches for dealing with these requirements, in order to clearly identify any necessary changes.

11.2.2.7 Compile and communicate compliance scorecard(s) (19595)

Creating a graphical representation of metrics in order to communicate the general health of the organization in relation to risk and compliancy.

11.2.2.8 Compile and communicate internal and regulatory compliance reports (19596)

Submitting compliance reports to regulatory agencies. These reports can be made to environmental, securities, or human resources agencies as stipulated by the local governing body.

11.2.2.9 Maintain relationships with regulators as appropriate (16470)

Developing and preserving relationships with the regulators, without compromising the legal basis of the relationship.

11.3 Manage remediation efforts (11185)

Administering the efforts and activities for remediation. This process element requires the organization to create plans for corrective action in collaboration with government agencies and pertinent professional services agencies which specialize in remediation efforts relevant to the organization's operations. Additionally, the organization needs to consult experts to validate the plan, determine resources allocation, resolve any legal concerns, and formulate a company-wide policy for remediation.

11.3.1 Create remediation plans (11201)

Creating plans for remediation efforts. Make a plan to address a case of environmental adulteration. Identify and treat the adulteration so that the area will become operational again.

11.3.2 Contact and confer with experts (11202)

Discussing and soliciting advice from experts for in order to incorporate their suggestion (regarding Create remediation plans [11201]).

11.3.3 Identify/dedicate resources (11203)

Identifying and dedicating the resources for managing remediation efforts. Discern the resources needed for remediation efforts. Dispense with resources in a sound and well-reasoned manner.

11.3.4 Investigate legal aspects (11204)

Examining regulatory and legislative frameworks. Obligate the organization to remediate any damages through compensations, fines, and any other remedial efforts necessitated to correct the situations. Analyze local environmental laws, binding international covenants, etc. in order to examine legal accuracy about the rules and procedures.

11.3.5 Investigate damage cause (11205)

Studying the causes of damage, which could be environmental, physical, social, etc. at country level in order to institute better policies and regulations.

11.3.6 Amend or create policy (11206)

Crafting a new framework of policies and procedures for deploying remediation efforts, or change existing policies and procedures. Adapt the policy structure to the context of the apposite national and international regulatory frameworks.

11.4 Manage business resiliency (11216)	
Including the processes required to rapidly adapt and respond to any internal or external opportunity, demand, disruption, or threat. Develop a more dynamic, strategic, and integrated approach to managing compliance obligations.	
Suggested KPIs	
Metric ID	**KPI**
101318	Number of IT FTEs that perform the process group "manage business resiliency and risk" per $1 billion revenue
103725	Total cost to perform the process "manage business resiliency and risk", including depreciation/amortization, per $1,000 revenue

11.4.1 Develop the business resilience strategy (11221)
Creating a strategy for rapidly adapting to disturbances. Maintain continuous business processes and protecting employees, assets, and overall brand equity. This is inclusive of all forms of new and evolving technology such as artificial intelligence (AI).

11.4.2 Perform continuous business operations planning (11222)
Developing plans to ensure continuous business operations.

11.4.3 Test continuous business operations (11223)
Assessing ongoing activities within the organization that are not intended to stop except for in an emergency.

11.4.4 Maintain continuous business operations (11224)
Evaluating business operations. Determine which activities generate revenues, perform best, and provide good returns.

11.4.5 Share knowledge of specific risks across other parts of the organization (16471)
Sharing information about risks and resilience strategies of business operations across the organization so that prospective risks can be avoided.

About APQC's Process Classification Framework (PCF)®

The Framework for Process Improvement

Experience shows that the potential of benchmarking to drive dramatic improvement lies squarely in making out-of-the-box comparisons and searching for insights not typically found within intra-industry paradigms. To enable this beneficial benchmarking, the PCF serves as a high-level, industry-neutral enterprise process model that allows organizations to see their business processes from a cross-industry viewpoint.

The PCF enables organizations to understand their inner workings from a horizontal process perspective, rather than a vertical functional viewpoint. The PCF does not list all processes within a specific organization, and every process listed in the framework is not present in every organization.

Originally created in 1992 by APQC and a group of members, the framework has experienced more than twenty years of creative use by thousands of organizations worldwide. The PCF is supported by APQC's Open Standards Benchmarking research. It is continuously enhanced as APQC's Open Standards Benchmarking team further develops definitions, processes, and measures. Please visit APQC's web site periodically for updates. The PCF is available for organizations of all industries and sizes at no charge by visiting http://www.apqc.org/pcf.

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APQC (American Productivity & Quality Center) is the world's foremost authority in benchmarking, best practices, process and performance improvement, and knowledge management (KM). With more than 1,000 member organizations worldwide, APQC provides the information, data, and insights organizations need to support decision-making and develop internal skills. Learn more.